

excess of wealth to fund further asset purchases, setting up a positively reinforcing feedback loop into asset bubble territory.¹⁰

While the wealthy sowed the grounds for an asset bubble, initially not everyone could take part. Dutch East India shares were expensive and illiquid, making them inaccessible to all but the rich, and the same went for prized properties.

A tulip, on the other hand, was much more affordable. Yet due to a quirk of nature, an affordable tulip had the potential to morph into one that would make its owner rich. A virus transmitted by aphids turned solid-colored tulips into a prized variegated variety, with streaks of lighter hues through darker colors, resembling flames.¹¹ The cause of such variegation was not known at the time and so lent itself to speculation, as people tried to predict which tulips would develop the unique coloration.

On the other side of the transformation, however, was death, as the virus eventually killed the tulip. Speculators, therefore, passed the tulips around like hot potatoes, hoping they could sell them to the next speculator for a higher price, until the last person was left with a claim on a dead tulip.

Tulips had promised value since their introduction to Europe in the mid-1500s, but it was not until 1634 and the spread of the virus that prices increased exponentially, causing what is commonly referred to as Tulipmania. What began with small groups of speculators turned into crowds of speculators, as outsiders from other countries were drawn to Dutch tulip markets upon hearing stories of the immense riches to be